

Profit Niti AI CFO Report

1. Big Picture — How the Business Looks Right Now

The business is in a phase of aggressive growth, financed heavily by debt. You've generated a strong profit of ₹79.8M on sales of ₹1,034M in Q1, achieving a healthy net profit margin of 7.72%. However, this profit is currently locked up in working capital, leading to a significant cash flow deficit from operations of -₹1,029M. The company is relying on substantial new financing (₹1,645M) to fund this growth and cover the cash shortfall.

GREEN FLAG BOX — What's Working Well:

- **Strong Profitability:** A Net Profit of ₹79.8M and an Operating Profit margin of 7.38% indicate good core business efficiency.
- **Healthy Interest Coverage:** With an Interest Cover of 11.89 times, the company comfortably earns enough to service its debt interest.
- **Robust Sales Growth (Implied):** The massive investment in inventory and receivables suggests a significant scale-up in sales operations for the coming period.

RED FLAG BOX — What Needs Attention:

- **Severe Cash Flow Strain:** Operating cash flow is deeply negative at -₹1,029M, meaning profits are not converting to cash due to buildup in inventory and receivables.
- **High Leverage:** Debt is 2.63 times Equity, indicating a high-risk capital structure heavily dependent on borrowed funds.
- **Working Capital Mismatch:** You pay suppliers in ~1.25 days but collect from customers in ~14.76 days, creating a cash crunch that is funded by debt and other liabilities.

CFO Advice:

Immediate priority must be cash flow management. You need to accelerate

collections from customers and critically review inventory levels to unlock cash trapped in working capital. The current growth model is unsustainable without correcting this fundamental cash conversion cycle.